

What The Government Needs To Do For The Growth Of The Electronics Industry

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The Indian electronics industry has massive growth opportunity but there exist multiple challenges like inadequate infrastructure, tax structure, supply chain and logistics, inflexible labour laws, limited R&D focus, funding, limited benefits on value addition and exports, which are creating obstacles for growth. As domestic manufacturing is lagging behind, supply is not being able to keep pace with demand in India, resulting in ever-increasing imports.

To highlight the emerging markets and new opportunities, EFY Summit 2009 was organised, which reached a consensus that the government should be proactive and should work hand-in-hand with the industry to ensure growth. Its long-term vision should be to augment growth of domestic manufacturing with special focus on the electronics sector. The summit demanded active support from the government and chalked out a set of recommendations that can enable the industry to grow and make the nation a manufacturing hub.

THE RECOMMENDATIONS

- Establish a dedicated department for the electronics industry with direct interface to the Prime Minister's Office (PMO)



Rahul Gangal (right), senior vice president-defence advisory services, Religare Capital Markets Ltd, receiving the memento from Ramesh Chopra, MD, EFY Enterprises

Manufacturing

- In order to drive high growth in the industry, it is imperative for the government to provide impetus to the domestic manufacturing industry. Encourage systems design and manufacturing in India. Where required, define India-specific standards, encourage local value addition in identified priority verticals in government and other state-sponsored contracts
- Establish electronics manufacturing clusters and develop them into centres of excellence. These clusters can be developed through SMEs to focus on the key electronic components, which should constitute at least 30 per cent of value addition (not necessarily high-investment, high-value addition components like semiconductors)
- Encourage the production of 'made in India' goods by reserving a particular share in the market for Indian products
- With government incentives, the Indian IT sector has achieved success. The government should extend the same kind of incentives to electronics hardware as well
- Persuade large corporations with substantial volumes from India to indigenise. To start with, some moral pressure should be applied. This will also speed up ancillarisation of the industry, spurring growth in new directions



Arun Kumar Jha, director, MSME, speaking at the EFY Summit